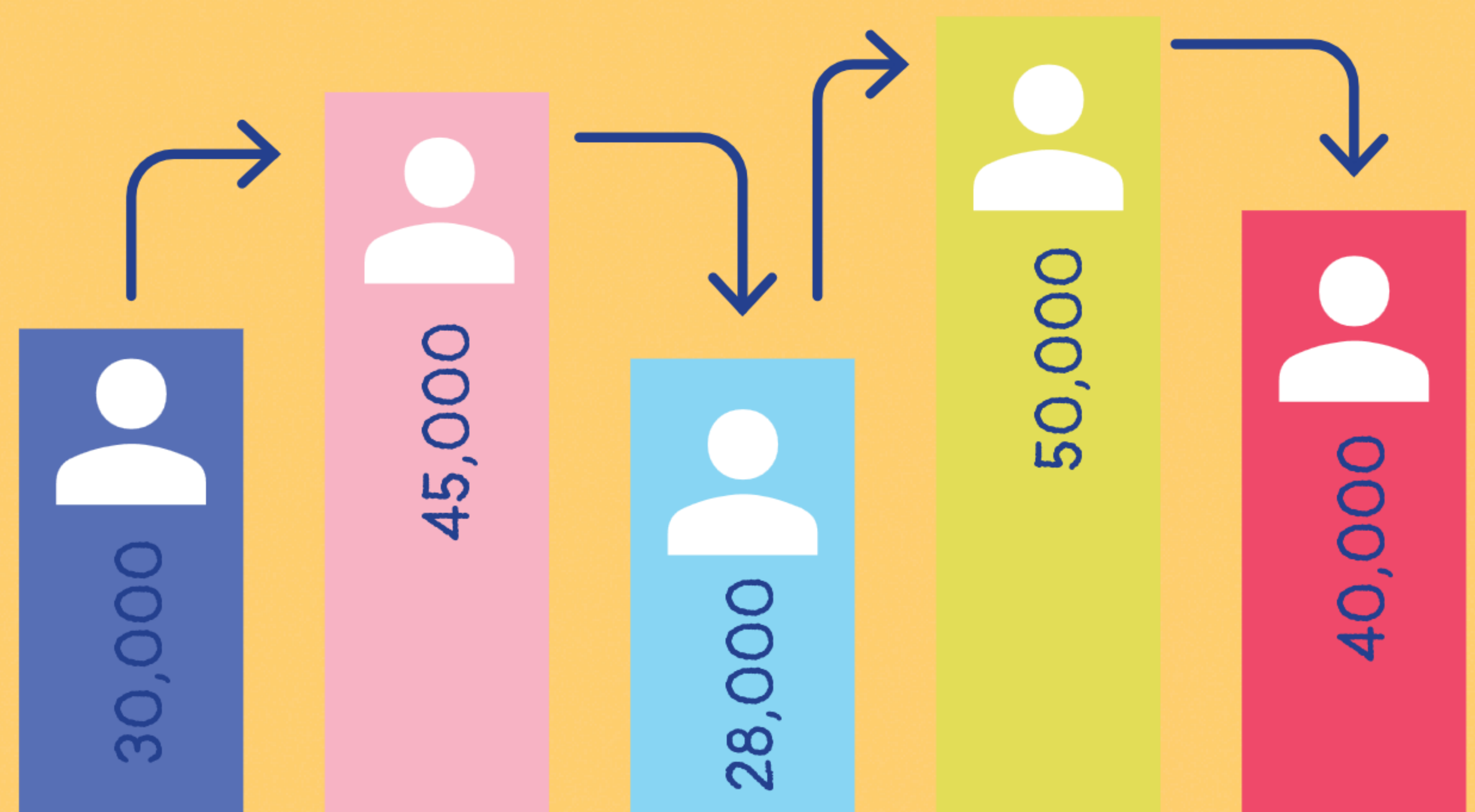


Compensation Benchmark

Compensation benchmarking is the process of comparing the compensation practices of your organization with those of other organizations in the same industry and location. The objective of compensation benchmarking is to gain insights that will help make your compensation competitive, thereby enhancing an organization's ability to attract and retain the top talent.



Company A Company B Company C Company D Company E

You must compare total compensation instead of just comparing salaries. The compensation benchmarking process involves the following steps.

1. Identify Job Roles

You may start by identifying the job roles you want to benchmark. These roles could include:

- Roles that make-up 80% of your workforce.
- Roles that make a significant contribution to your wage bill.
- Roles you plan to introduce as a result of business expansion or consolidation.

You may do this for all the roles within the organization in case you are planning to revamp compensation system for the entire organization. The next step is to finalize the comparator basket.

